

F. No. PD-13/66/2020-PPP (Part-2)/e-347563

भारतसरकार/GOVERNMENT OF INDIA

पत्तन, पोतपरिवहनऔरजलमार्गमंत्रालय

MINISTRY OF PORTS, SHIPPING AND WATERWAYS

(पब्लिक प्राइवेट पार्टनरशिप विंग/PPP WING)

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दिनांक/Dated: 21st December, 2021

To,

The Chairperson, All Major Ports and CMD KPL
MD, IPA

**Subject: TARIFF GUIDELINES, 2021 FOR THE FUTURE PPP
CONCESSIONAIRES - Regarding**

Sir,

The Parliament of India has enacted the Major Port Authorities Bill, 2020 to replace the Major Port Trusts Act, 1963. The Ministry of Law and Justice has published the Major Port Authorities Act, 2021 in the Gazette of India vide Gazette no 3 dated 18 February 2021.

As per subsection (zc) under Section 2 read with subsection (1) of Section 24 of the Major Port Authorities Act, 2021, the Board of each Major Port shall be competent to enter into and perform any concession contract with Public Private Partnership (PPP) Concessionaire for Public Private Partnership Project for discharge of functions of the Major Port Authority under the Act.

The proviso clause to Section 27(1) of the Major Port Authorities Act, 2021 provides that in case of Public Private Partnership Projects after the commencement of the Act, Concessionaire shall fix the tariff based on market conditions and on such other conditions as may be notified. Further, clause (f) of subsection (2) of Section 71 of the ibid Act, empowers the Central Government to make rules providing for the norms for fixation and implementation of scales, fees, rates and conditions under subsection (1) of Section 27.

In this backdrop, a Committee was constituted by the Ministry of Ports, Shipping and Waterways vide O.M.No.PD-13/66/2020-PPP/e-341758, dated 08 December 2020 for revision of Model Concession Agreement (MCA) and other issues of Public Private Partnership Projects under the chairmanship of Chairman, V.O. Chidambaranar Port Trust (VOCPT). The Committee has consulted all the Major Ports.

Based on the report of the Committee and in exercise of the powers conferred to the Central Government under Section 53 and clause (f) of subsection 2 of Section 71 of

the Major Port Authorities Act, 2021, this Government hereby issues the following Tariff Guidelines, 2021.

The said Tariff Guidelines, 2021 are issued to the Major Port Authorities (MPAs) for PPP projects approved by the Government but are still under bidding stage and all future concession agreements to be entered by Major Ports, for framing of Project wise Scale of Rates along with necessary conditionalities that will apply upon the services to be provided by the PPP Concessionaires based on market conditions and on such other conditions notified hereunder.

TARIFF GUIDELINES, 2021 FOR FRAMING OF SCALE OF RATES FOR THE CONCESSION AGREEMENTS ENTERED INTO BY THE MAJOR PORT AUTHORITY WITH PPP CONCESSIONAIRE AFTER MAJOR PORT AUTHORITIES ACT, 2021 HAS INTO FORCE

1. PRELIMINARY

1.1. These guidelines are issued to the Major Port Authorities (the "MPAs") and PPP Concessionaires, for framing of Scale of Rates along with conditionalities for each PPP project of the respective PPP Concessionaire(s) who have been authorised as set forth in the Concession Agreement(s) by the Board of Major Port Authority to discharge the authorised functions/ provide services at the Major Port Authority.

1.2. This Tariff Guidelines may be called as "Tariff Guidelines, 2021", for framing of Scale of Rates for PPP projects approved by the Government but are still under bidding stage and all future concession agreements, to be entered by Major Ports as per MPA Act, 2021. The Tariff Guidelines, 2021 may be duly updated or revised from time to time by the Government in exercise of the powers conferred under Section 53 and clause (f) of subsection 2 of Section 71 of the Major Port Authorities Act, 2021.

1.3. These Tariff Guidelines 2021 will be applicable prospectively to all the PPP Concession Agreements entered into by the Major Port Authority with PPP Concessionaire under the MPA Act, 2021. These Tariff Guidelines 2021 shall remain in force until further reviewed or amended or modified or revoked.

1.4. Unless the context otherwise requires, various terms used herein will have the same definition as in the MPA Act, 2021 and the Indian Ports Act, 1908, as amended from time to time.

1.5. If any difficulty arises in giving effect to this Tariff Guidelines, the Central Government may in consultation with PPP Concessionaires and Major Port Authorities pass such orders, as may be necessary for removing the difficulty.

1.6 For purposes of these Tariff Guidelines, the term 'Scale of Rates' shall mean the specific tariff rates along with conditionalities that are to be determined, informed and published by the PPP Concessionaires as per market conditions in respect of their respective PPP Projects awarded as per MPA Act, 2021 and as per provisions therein including Section 27(1).

2. DETERMINATION OF SCALE OF RATES

2.1. Each PPP Concessionaire is authorised by the Concessioneing Authority to discharge functions and provide services as set forth in their respective Concession Agreement(s) and also have the liberty to frame their own Scale of Rates for any and all services (including combination of services) they perform/ provide to their users/customers. The Scale of Rates set by the PPP Concessionaire must be in accordance with the provisions of their respective Concession Agreement(s) as well as

PROVIDED that the services or combination of the services for which the Scale of Rates is framed by the PPP Concessionaire shall

- (i) not be with retrospective effect
- (ii) not be in derogation with the rules made by or directives of the Central Government in this behalf;
- (iii) not be inconsistent with the provisions of the Competition Act, 2002; and
- (iv) not be inconsistent with the provisions of any other law for the time being in force.

2.2. The PPP Concessionaire shall abide by the provisions of the Royalty and other conditions as per the provisions of the concession agreements entered with the Concessioneing Authority.

2.3. The Scale of Rates, along-with conditionalities, for services rendered shall be formulated by the individual PPP Concessionaire, in accordance with these Tariff Guidelines, 2021 as amended from time to time.

2.4. The PPP Concessionaire shall ensure that the Scale of Rates includes tariff for all the services rendered/ to be rendered by them within the scope of services prescribed in the Concession Agreement to ensure transparency and complete disclosure of applicable charges on port users. The Scale of Rates may be categorized under the following broad categories –

- a. Vessel Related Charges (if chargeable by the PPP Concessionaire under the Concession Agreement)
- b. Cargo /Container Handling Charges
- c. Storage Charges
- d. Other or Miscellaneous Charges

2.5.1. The PPP Concessionaire shall host the Scale of Rates as published rates/ tariff and applicable conditionalities on its website for transparency. The Scale of Rates/ amendment/ revision in Scale of Rates as published by the PPP Concessionaire on the website including conditionalities shall be the ceiling level i.e. the maximum rates or charges or tariff chargeable.

2.5.2. The PPP Concessionaire may annually review its Scale of Rates and the conditionalities. The PPP Concessionaire can modify, amend, increase, decrease, delete or add new tariff/ conditions and host the revised Scale of Rates along with conditionalities on its website in accordance with the procedure set forth in these Tariff Guidelines, 2021. Without prejudice to the aforementioned, the PPP Concessionaire can, if necessary, even during the year or during the annual review, change or stipulate revisions to the Scale of Rates based upon market conditions for existing cargo/ services provided by the PPP Concessionaire, rationalise existing tariff/ storage tariff/ existing

conditionalities and can fix tariff / charge/ conditionalities based upon market conditions for new cargo / new service as permissible within the scope of the Concession Agreement(s).

2.5.3. The PPP Concessionaire shall also intimate in writing the Scale of Rates as amended from time to time to the Concessioneing Authority.

2.6. The Scale of Rates and any revised/ modified Scale of Rates and conditionalities will come into effect only after expiry of 30 days prospectively from the date of first publishing of the Scale of Rates, revision/ modification of the Scale of Rates on the website of the PPP Concessionaire.

2.7. The Concessioneing Authority for inviting bids for PPP Projects may arrive at a reference tariff based on Reference Tariff Guidelines, 2013 as amended from time to time or choose to prepare their own reference tariff. For these Tariff Guidelines 2021, the reference to Reference Tariff Guidelines 2013 will be only for indicative purposes and may be used by the Concessioneing Authority for calculation of Reserve Royalty, if deemed fit.

2.8 The Scale of Rates of each PPP Concessionaire shall be decided subject to :-

- i. Para 6 in respect of 'Vessel Related Charges';
- ii. Para 5 in respect of 'Cargo Related Charges';
- iii. Para 5A in respect of 'Container Related Charges';
- iv. Para 5.5 in respect of 'Storage Charges; and
- v. Para 4 in respect of 'Other aspects' and other provisions of these Tariff Guidelines 2021 as amended from time to time.

3. Payment of Royalty by PPP Concessionaires

3.1. The PPP operator shall pay royalty at the rate indicated in the Concession Agreement applicable during the concession period.

3.2. All the PPP Concessionaires shall maintain all documents and supporting evidence relating to the details of cargo/ containers handled category wise, tariff charged and the amount collected and submit to the Concessioneing Authority within 15th day of the following month duly certified by its Internal Auditor(s). The Concessioneing Authority shall have the option to verify and audit the quantity of cargo/ TEUs handled, tariff charged and amounts of rates received.

3.3. For payment of Royalty in cases where there are existing policies of the Central Government such as the existing coastal cargo/ container policy, the Concessioneing Authority must stipulate the rate of Royalty that is to be levied in the case of 'trans-shipment of normal containers of different sizes' as well as 'coastal cargo/container' as per provisions set forth in these Tariff Guidelines 2021 policy as amended from time to time.

3.4. Royalty Rates for Transshipment containers i.e. Foreign/ Coastal

This has to be brought out explicitly by the concerned Concessioneing Authority in the bidding document as well as in the Concession Agreement –

- i) Incase of foreign transshipment containers, Royalty is to be levied at
 - a. one time of the normal containers for a 20' transshipment container,
 - b. incase of transshipment containers between 20' to 40', royalty is to be levied at 1.2 times the normal foreign container rate and
 - c. incase of transshipment containers beyond 40', royalty is to be levied at 1.5 times the normal foreign container rate.
- ii) In case of coastal transshipment containers of 20', container between 20' to 40' and above 40', the royalty payment by Concessionaire shall be 40% of the royalty payable for Foreign Transshipment container of the corresponding size.

Illustration: Suppose the handling tariff of a normal 20' foreign container is `5,000/, tariff for coastal container is `3,000/- as per the coastal concession Policy and as per clause 5.4.1 of these Tariff Guidelines, tariff for Transshipment container is 1.5 times the rate of normal foreign/ coastal container. Now, suppose royalty per TEU is Rs.1,000. Then, the Royalty payable by Concessionaire for Transshipment container (foreign/ coastal) as per this clause 3.4.(i) and (ii) above shall be as tabulated below:

Description	Tariff – Handling Charge (in Rs.)		Royalty payable on Transshipment container if per TEU Royalty is at Rs.1000/- shall be -		
	Normal Container	Transshipment container	20' Transshipment Container	20' to 40' Transshipment Container	Above 40' Transshipment Container
Foreign 20'	5000	7500	1000	1200	1500
Coastal 20'	3000	4500	400	480	600

3.5. Royalty rates for coastal cargo/ container entitled for coastal concession in tariff:

As regards coastal containers or coastal cargo eligible for coastal concession in tariff as per the prevailing Government policy, the tariff of the coastal cargo/ container is charged at 60% of the tariff applicable to normal foreign cargo/ container. Accordingly Royalty payable by the PPP Concessionaire to the Concessioning Authority on coastal cargo or containers levied concessional tariff as per policy guideliness of the Government shall be at 40% of the Royalty payable towards normal foreign cargo/ container.

4. OTHER ASPECTS

4.1. **Status of Vessel:** The status of the vessel for tariff determination purposes will be borne out by its certification by the Customs or the Director General of Shipping. This shall be the deciding factor for its classification as 'coastal' or 'foreign-going' for the purpose of levying Vessel Related charges; and, the nature of cargo or its origin will not be of any relevance for this purpose.

4.2.1. System of classification of 'vessel' for levy of Vessel Related Charges (VRC)